

TASK-5

CASE STUDY-cybercrime: UPI/Online Payment Fraud

What Is UPI Payment Fraud?

UPI (Unified Payments Interface) fraud refers to scams where cybercriminals deceive individuals into authorising fraudulent transactions through India's real-time digital payment system. Unlike hacking, these attacks primarily exploit trust, urgency, and the victim's lack of awareness - making them particularly dangerous for first-time digital payment users.

How It Typically Happens (Step-by-Step)

1. **The Setup:** A college student — let us call him Arjun — lists his old laptop for sale on OLX at ₹18,000.
2. **The Contact:** A scammer posing as a genuine buyer contacts Arjun via WhatsApp, expressing strong interest and offering the full price.
3. **The Trick:** The scammer says he will pay via UPI and sends a QR code or a payment request link, claiming "click to receive ₹18,000."

4. **The Confusion:** Arjun, unfamiliar with UPI, does not realise that scanning a QR code or entering his UPI PIN on a received request means **sending** money, not receiving it.
5. **The Loss:** Arjun enters his PIN to "accept" the payment. ₹18,000 is instantly debited from his account. The scammer disappears.

Who Is Typically Targeted?

First-time UPI users, students, elderly individuals, and people in semi-urban or rural areas who have recently adopted digital payments but are not fully aware of how payment requests and collect requests differ from receiving transfers.

Consequences

Arjun loses ₹18,000 instantly. Because UPI transactions are irreversible without bank intervention, recovery is difficult and often partial. The emotional impact — distrust of digital tools, anxiety, and embarrassment — is significant. If not reported quickly to the bank and cybercrime helpline (1930), recovery becomes nearly impossible.